

The Hidden Levy: Ellis County's Five-Year Property Tax Gap

A cross-fund analysis of FY2021–FY2025 showing how the General Fund budget consistently understated total property tax collections, by a cumulative **\$88.67 million**.



Methodology & Data Sources

"**Actual Total Levy**" is sourced from Ellis County's Annual Financial Reports (AFR/ACFR), representing all funds: General Fund, Debt Service Fund, and any Special Purpose funds that levy property taxes. This figure reflects total property tax revenue assessed against Ellis County property owners.

"**GF Budgeted Levy**" is the property tax levy figure adopted in the county's annual General Fund budget. This is the figure most commonly cited in public budget presentations and county communications.

"**Cross-Fund Variance**" represents the difference: the property tax revenue collected across all funds that exceeds what was disclosed in the General Fund budget alone. This variance does not by itself indicate misappropriation; rather, it reflects a structural gap between public-facing budget communications and actual total collections.

COMPARATIVE ANALYSIS

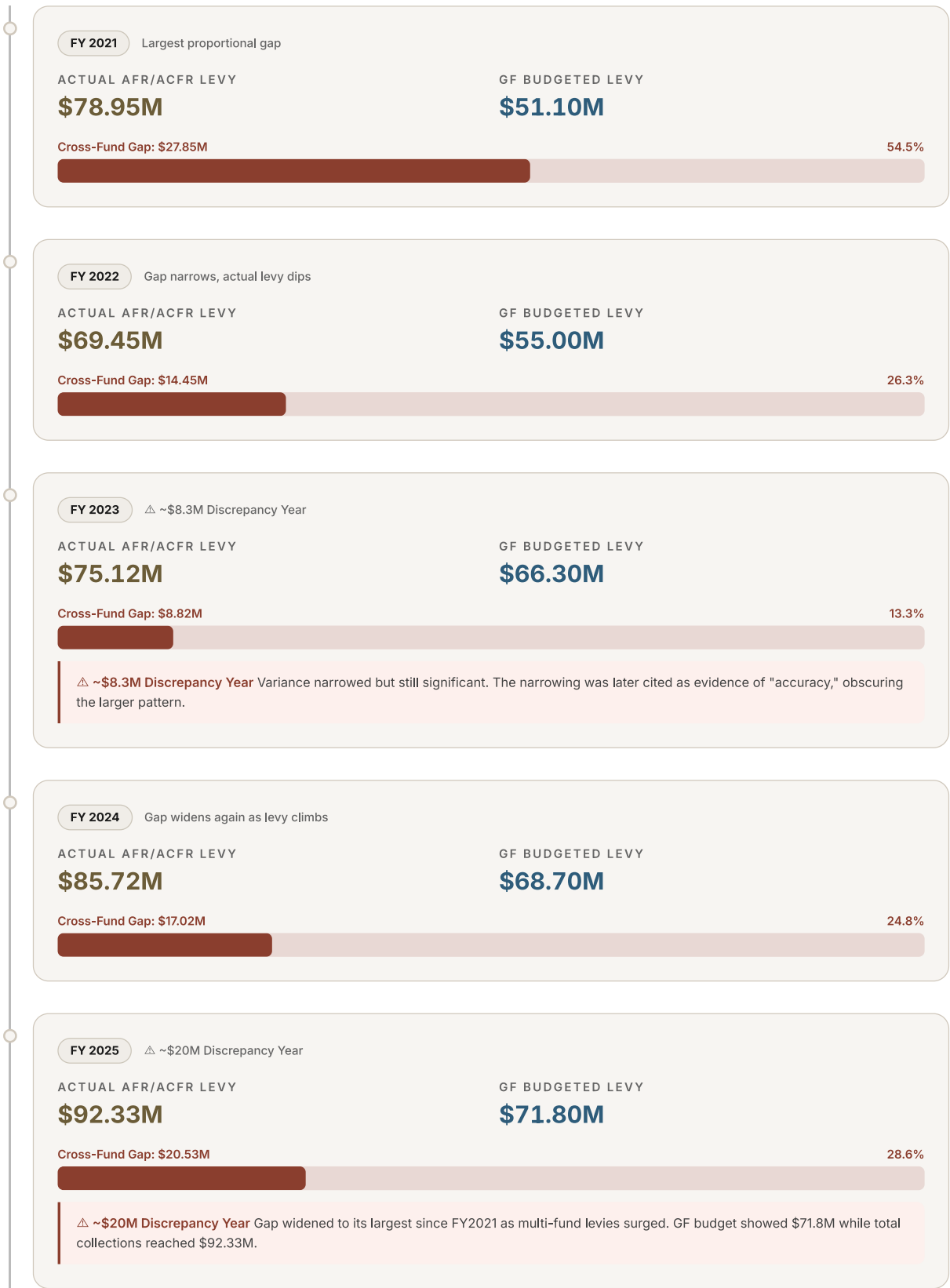
Levy by Year: Budgeted vs. Actual

Grouped bars show the full levy (amber) against the GF budget (blue). The red line traces the cross-fund gap.



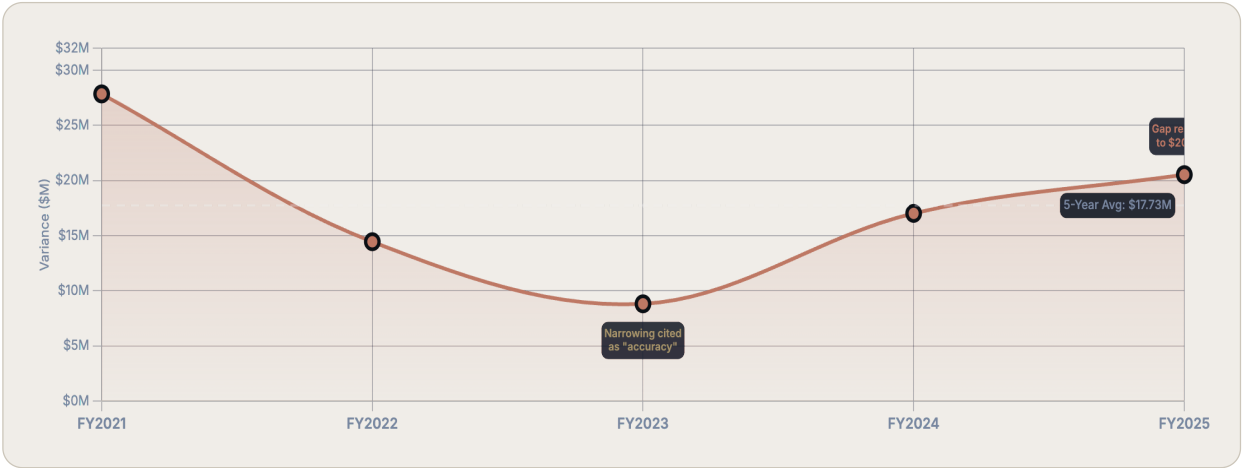
Chronological Timeline

Each fiscal year's actual levy versus the General Fund budget, with the cross-fund gap highlighted.



Cross-Fund Variance Over Time

The gap dipped in FY2023 then resurged; the dashed line marks the five-year average (\$17.73M).



DETAILED DATA

Key Findings

FISCAL YEAR	ACTUAL LEVY	GF BUDGET	CROSS-FUND GAP	% UNDERSTATEMENT
FY2021	\$78.95M	\$51.10M	\$27.85M	54.5%
FY2022	\$69.45M	\$55.00M	\$14.45M	26.3%
△ FY2023	\$75.12M	\$66.30M	\$8.82M	13.3%
FY2024	\$85.72M	\$68.70M	\$17.02M	24.8%
△ FY2025	\$92.33M	\$71.80M	\$20.53M	28.6%
TOTAL	\$401.57M	\$312.90M	\$88.67M	28.3% avg

IN-DEPTH

Understanding the Discrepancy

The Mechanism

Ellis County's annual General Fund budget captures only a portion of the total property tax levy. Additional funds, including Debt Service and Special Purpose funds, collect property taxes independently. When only the GF figure is reported publicly or cited in budget presentations, the total tax burden on property owners is systematically understated. Over five fiscal years, this gap totaled **\$88.67 million**, an average of **\$17.73 million per year** that was collected but not reflected in the headline budget figure.

The \$8.3M "Discrepancy" (FY2023)

In FY2023, the cross-fund variance narrowed to \$8.82 million, the smallest gap in the review period. However, this narrowing did not indicate accuracy; it reflected a convergence between GF budget growth (\$66.3M, up 20.6% from FY2022) and actual levy growth (\$75.12M, up 8.2%). The \$8.3M figure emerged as an investigative reference point: the amount by which total collections exceeded the GF budget even in the county's "best" year. This number has been cited as a **minimum floor of the discrepancy**.

The \$20M "Discrepancy" (FY2025)

By FY2025, the cross-fund gap had widened to **\$20.53 million**. With actual levy collections reaching \$92.33M against a GF budget of \$71.80M, the county collected 28.6% more in property taxes than the publicly adopted budget reflected. This \$20M figure represents the

most recent and largest absolute dollar discrepancy in the dataset, occurring as property valuations in Ellis County surged amid rapid residential and commercial development.

Cumulative Impact

Across all five fiscal years (FY2021–FY2025), Ellis County collected **\$401.57 million** in actual property tax levy revenue. The General Fund budget, the figure most frequently cited in public documents and presentations, totaled only **\$312.90 million** over the same period. The **\$88.67 million difference**, nearly one year's worth of total levy revenue, represents the cumulative scale of the cross-fund reporting gap. Property owners, taxpayers, and oversight bodies relying solely on GF budget figures would have had no visibility into **22%** of all property tax collections during this period.

LIMITATIONS

What This Analysis Does and Does Not Show

The cross-fund gap documented here is a real and verifiable pattern. But it is not confirmed to be the same thing County Judge John Wray's internal auditor was measuring when they described approximately \$8.3 million in excess tax revenue since FY2021. These figures are consistent with Wray's disclosures and large enough to account for the amounts cited in press reporting. They are not confirmed to be the specific funds at issue.

The internal auditor's August 20, 2026 comparison report has not been publicly released. Until that document is obtained, this analysis represents the best available public-record approximation of the structural gap, not a confirmed accounting of missing or misallocated revenue.

✓ What is documented

Total property tax collections across all funds exceeded the General Fund budget in every fiscal year from FY2021 through FY2025.

The cumulative gap over five years was \$88.67 million, averaging \$17.73 million per year.

The FY2025 gap (\$20.53M) and the FY2023 gap (\$8.82M) are consistent in magnitude with the figures Wray cited publicly.

The county's external auditor issued a clean opinion on FY2025 financials while also noting that Internal Audit positions were vacant.

✗ What is not established

Whether the cross-fund gap is what the internal auditor flagged, or whether a different comparison was used.

Whether any revenue was collected in excess of the county's legally authorized tax rate.

Whether funds are unaccounted for in the sense of being missing from records, versus simply not reflected in the General Fund budget.

Whether the pattern reflects deliberate concealment, systemic error, or a routine feature of multi-fund accounting that was never adequately disclosed.

● Documents still needed

Internal auditor's Aug. 20 report (County Auditor Staci Parr): the document that would confirm or refute this analysis.

Patillo, Brown & Hill limited examination (April 2026, ~\$30K): a separate engagement that may address the cross-fund question directly.

Aug. 18, 2026 Commissioners Court minutes (County Clerk Krystal Valdez): the record of what Wray actually said when he first raised the issue.

Tax collection ledgers FY2021–present (County Treasurer Lauri Hartley): the raw receipts that would allow a fund-by-fund reconciliation.

Data Sources: Ellis County Annual Financial Reports (AFR/ACFR), FY2021–FY2025; Ellis County Adopted General Fund Budgets, FY2021–FY2025. Analysis prepared for investigative reporting purposes. All figures in USD millions.

Cross-fund variance does not by itself indicate malfeasance; it reflects structural separation of county fund accounting. The significance lies in whether the total levy burden was adequately disclosed in public-facing budget documents.